

1. Purpose

The purpose of this Loan Policy is to establish clear rules and procedures for providing loans to eligible customers. The policy ensures that loans are approved fairly, responsibly, and according to the customer's ability to repay.

2. Loan Eligibility

A customer must meet the following requirements:

- The customer must be at least 18 years old.
- The customer must have a valid identification document.
- The customer must have a stable source of income.
- The customer must provide accurate personal and financial information.
- The customer must have an acceptable credit history.
- The customer must not have an overdue loan with the institution.

3. Types of Loans

The institution provides the following loan types:

3.1 Personal Loan

Personal loans may be used for personal expenses such as education, medical expenses, home improvements, or other approved purposes.

- Maximum loan amount: \$10,000
- Maximum repayment period: 36 months
- Interest rate: 12% per year

3.2 Business Loan

Business loans are provided to eligible customers for business-related purposes such as purchasing equipment, inventory, or expanding a business.

- Maximum loan amount: \$50,000
- Maximum repayment period: 60 months
- Interest rate: 10% per year

3.3 Emergency Loan

Emergency loans are designed to provide quick financial assistance for urgent approved expenses.

- Maximum loan amount: \$5,000
- Maximum repayment period: 12 months
- Interest rate: 8% per year

4. Required Documents

Applicants must provide:

1. Valid identification document
2. Proof of income
3. Proof of residential address
4. Bank statement for the previous 3 months
5. Employment verification, if applicable
6. Business documents for business loans
7. Any additional documents requested by the loan officer

5. Loan Application Process

The loan application process consists of the following steps:

1. Customer submits a loan application.
2. Loan officer verifies the customer's identity.
3. Required documents are reviewed.
4. Customer's income and financial situation are evaluated.
5. Credit history is checked.
6. Loan amount and repayment capacity are assessed.
7. The application is approved or rejected.
8. The customer is informed of the decision.
9. If approved, the customer signs the loan agreement.
10. The approved amount is disbursed to the customer.

6. Credit Assessment

The institution evaluates the following factors before approving a loan:

- Monthly income
- Existing debts
- Employment stability
- Credit history
- Requested loan amount
- Repayment capacity
- Loan purpose
- Available collateral, when required

A customer may be rejected if the institution determines that the customer has insufficient repayment capacity.

7. Interest Rate

The applicable interest rate depends on the type of loan.

Loan Type	Annual Interest Rate
Personal Loan	12%
Business Loan	10%
Emergency Loan	8%

The interest rate must be clearly communicated to the customer before the loan agreement is signed.

8. Repayment

Loan repayments are normally made through monthly installments.

Each installment may include:

- Principal amount
- Interest
- Applicable fees

Customers must make payments according to the repayment schedule specified in the loan agreement.

9. Late Payment

If a customer fails to make a payment by the due date:

- The customer may receive a payment reminder.
- A late payment fee may be charged according to the loan agreement.
- Continued non-payment may affect the customer's credit record.
- The institution may take collection actions for seriously overdue loans.

10. Early Repayment

Customers may repay their loan before the scheduled maturity date.

Early repayment may be subject to applicable terms and fees stated in the loan agreement.

11. Collateral

Collateral may be required for certain loans, particularly larger business loans.

Acceptable collateral may include:

- Real estate
- Vehicles
- Business equipment
- Other assets approved by the institution

The collateral value must be evaluated before the loan is approved.

12. Loan Approval Authority

Loan approval authority depends on the loan amount.

Loan Amount	Approval Authority
Up to \$5,000	Loan Officer
\$5,001 – \$20,000	Branch Manager
\$20,001 – \$50,000	Credit Committee

Loans above \$50,000 require approval from senior management.

13. Loan Rejection

A loan application may be rejected for reasons including:

- Insufficient income
- Poor credit history
- Excessive existing debt
- Incomplete documentation
- False or inaccurate information
- Insufficient collateral
- Failure to meet eligibility requirements

The customer should be informed of the general reason for rejection.

14. Customer Responsibilities

Customers are responsible for:

- Providing accurate information.
- Providing required documents.
- Making payments on time.
- Informing the institution about significant changes in financial circumstances.
- Following the terms and conditions of the loan agreement.

15. Confidentiality

Customer loan information must be treated as confidential. Employees may only access or disclose customer information when authorized and when required for legitimate business or legal purposes.

16. Policy Review

This Loan Policy should be reviewed periodically by management to ensure that it remains appropriate and complies with applicable laws, regulations, and institutional requirements.

17. Frequently Asked Questions

Q1: Who can apply for a loan?

Customers who are at least 18 years old, have valid identification, a stable source of income, and meet the institution's eligibility requirements can apply.

Q2: What documents are required?

Applicants generally need identification, proof of income, proof of address, and a three-month bank statement.

Q3: What is the maximum personal loan amount?

The maximum personal loan amount is \$10,000.

Q4: What is the interest rate for a business loan?

The annual interest rate for a business loan is 10%.

Q5: Can I repay my loan early?

Yes. Customers may repay their loan early, subject to the terms of their loan agreement.

Q6: What happens if I miss a payment?

The customer may receive a reminder, and a late payment fee may apply. Continued non-payment may affect the customer's credit record and result in collection actions.

Q7: Is collateral required for every loan?

No. Collateral depends on the loan type, amount, and the institution's assessment.

Q8: How long does loan approval take?

The normal loan application review may take up to 5 business days after all required documents have been submitted.